



Mold-Tek Packaging recorded highest ever EBITDA per KG which is a huge positive. However, results were below street and our estimates.

- **Revenue from operations** came at 1,602.85 Mn (+0.5% QoQ) (+20% YoY)
- **EBITDA** came at Rs 316.2 Mn (-1.3% QoQ) (+13.8% YoY)
- **EBITDA Margins** were at 19.7% (Vs 20.1% QoQ) (Vs 20.8% YoY)
- **PAT** came at Rs 166.5 Mn (-5.3% QoQ) (+11.1% YoY)

Other Details

- **RM cost as percentage to Revenue** came at 59% (Vs 59.4% QoQ) (Vs 57.3% YoY)
- **O. Exp as percentage to Revenue** came at 15.2% (Vs 14.7% QoQ) (Vs 17.9% YoY)
- **Volume** at ~7,340 tonnes, **EBITDA per KG** at healthy 43.07 Rs
- Food & FMCG growth @ 26% YoY, Lubricants growth @ 22% YoY, Paints segment weak results with 4% sequential growth due to price hikes passed on (historically Q3 has been weak for paints)

Outlook

MoldTek delivered weak results mainly due to weaker performance on paints front due to price hike pass on. Going forward, outlook for paints in Q4 seems strong. Management has reduced volume guidance for current year while maintaining for FY23. Amidst this we feel that EBITDA per Kg is trending strong (and also highest in any quarter) but will come down once inflation eases. **We roll our estimates to FY24E and arrive at a target price of 871 and upgrade rating to "Buy" from "Buy on Dips" (24x FY24E EPS of 36.3).** We feel the multiple should sustain since MoldTek has an upper hand over its peers in terms of quality, diversification of business, order-book and first mover advantage (helping lower pricing).

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net sales	3,940.9	4,374.4	4,789.3	6,178.7	6,968.5	7,559.4
EBIDTA	719.5	800.4	959.6	1,255.5	1,621.0	2,040.9
Margins	18.26%	18.30%	20.04%	20.32%	23.26%	27.00%
Adjusted net profit	310.4	404.2	488.8	667.5	906.6	1,159.1
EPS (Rs)	11.2	14.6	17.5	23.1	28.4	36.3
P/E (x)	64.1	49.3	41.0	31.1	25.3	19.8
EV/EBITDA (x)	28.9	26.2	21.9	17.4	14.7	11.6
RoCE (%)	20.39%	19.97%	20.86%	24.36%	26.41%	29.51%
RoE (%)	16.29%	20.50%	19.11%	22.57%	22.87%	24.62%

Source: Dalal & Broacha Research

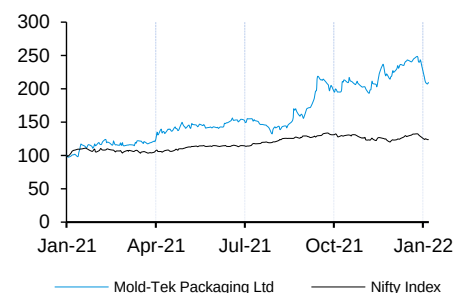
Rating	TP (Rs)	Up/Dn (%)
BUY	871	22

Market data

Current price	Rs	714
Market Cap (Rs.Bn)	(Rs Bn)	22
Market Cap (US\$ Mn)	(US\$ Mn)	288
Face Value	Rs	5
52 Weeks High/Low	Rs	862 / 318
Average Daily Volume	('000)	75
BSE Code		533080
Bloomberg		MTEP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	32.14	32.14
Public	67.86	67.86
Total	100	100

Source: Bloomberg

Kunal Bhatia
+91 22 67141442
kunal.bhatia@dalal-broacha.com

Miraj Shah
+91 22 67141489
miraj.shah@dalal-broacha.com

Conference Call Highlights

▪ **Operational Details:**

- Moderate revenue growth with weak profitability but good EBITDA/Kg and strong orders expected going forward will guide the revenues.
- **RM cost** was high (around 110 Rs per Kg Vs Rs 85 per Kg YoY). It remained flattish in December but increased 1rs in January.
- 79 New Food & FMCG customers, 14 Customers for our new products, 357 New SKUs processed
- Overall **3% lower volume compared to Q2FY22**.
- **Volume contribution** from paints/lubes/F&F stood at 57%/25%/18% while the contribution in revenue stood at 54%/23%/23% in 3Q. The IML contribution to volume stood at 65.5% in 3Q (vs. 63%)
- QoQ volumes of paints fell 12% (but realization rose due to price hike) while lubes rose 15%. YoY F&F volume growth of 38%

Capex & Construction:

- Company has commenced construction of 40,000 sft RCC building to manufacture Healthcare, Pharma and FMCG products, expected to be completed before December, 2022
- 55 Crs of capex for FY22 (of which 36Crs already done), 70-80 Crs of capex for FY23

Pumps:

- Company received orders for pumps from HUL and trials are under checks for Reckitt Benkiser and Himalaya. Export orders are also being pursued for growth in this segment.

Orders:

- Entering new industries like Seeds, Cheese, Fertilizers, Sweets etc
- Orders from Amul (worth 15 Crs), PVR cinemas (worth 1-2 Crs), Biostadt, Skyline labs Paints, Belegend, Vital Pharma,
- **Expect to realise deals with 4 F&F players by April-May.**
- Expect to receive one order in IBM which will fill the pilot capacity

QR coded (digital packaging):

- Company received first order (from UDP Pvt Ltd) for 5, 10 and 15 kg packs. More traction is coming from Paints and lube companies. Active trials at Paint (1), Lubricant (3) & FMCG (4) companies.

Outlook:

- Strong order flows visible but contribution sizeable contribution from pumps and IBM will be FY24 onwards. Much better forecast of Paints volume for Q4FY22
- **Entry barriers are still in place as almost no other competitor is integrated as well as Mold-Tek**
- Expect to finish year with 13-14% volume growth and volume growth of 18-20% expected going forward

Quarterly Financials

Particulars (Rs mn)	Q3FY22	Q3FY21	growth	Q2FY22	growth
Sales	1,602.85	1,335.19	20.05%	1,595.32	0.47%
Less Excise		-		-	
Net Sales	1,602.85	1,335.19	20.05%	1,595.32	0.47%
1. Cost of Materials consumed	997.94	756.02		928.66	
2. Change in inventory of FG & WIP	(52.10)	8.49		18.55	
Total Raw Material Consumed	945.84	764.51	23.72%	947.21	-0.15%
% OF OPERATING INCOME	59.01%	57.26%		59.37%	
Employee Expenses	98.12	79.85	22.88%	93.50	4.94%
% OF OPERATING INCOME	6.12%	5.98%		5.86%	
Other Expenses	242.76	213.01	13.97%	234.34	3.60%
% OF OPERATING INCOME	15.15%	15.95%		14.69%	
EBIDTA	316.13	277.82	13.79%	320.27	-1.29%
Margins	19.72%	20.81%		20.08%	
O. Inc	1.51	0.77	96.10%	2.29	-34.06%
EBITDA (inc. OI)	317.64	278.59	14.02%	322.56	-1.53%
Dep	68.59	52.61	30.37%	65.29	5.06%
Fin	27.53	24.81	10.96%	27.54	-0.04%
PBT and exceptional items	221.52	201.17	10.12%	229.73	-3.57%
Exceptional Items		-		-	
PBT	221.52	201.17	10.12%	229.73	-3.57%
Margins	13.81%	15.06%		14.38%	
Tax	54.91	51.21	7.23%	53.79	2.07%
<i>Effective Tax Rate</i>	<i>24.79%</i>	<i>25.46%</i>		<i>23.42%</i>	
PAT	166.61	149.96	11.10%	175.94	-5.30%
Margins	10.38%	11.22%		11.01%	
Ajdusted PAT	166.61	149.96		175.94	
Equity Share Cap	151.07	138.83		141.62	
EPS	5.80	5.28	9.85%	6.23	-6.90%

Source: Dalal & Broacha Research

Outlook and Valuations

MoldTek delivered weak results mainly due to weaker performance on paints front due to price hike pass on. Going forward, outlook for paints in Q4 seems strong. Management has reduced volume guidance for current year while maintaining for FY23. Amidst this we feel that EBITDA per Kg is trending strong (and also highest in any quarter) but will come down once inflation eases.

Going forward, revenues from Pumps (FY23) and IBM (FY24) should also kick in which will have higher profitability.

We roll our estimates to FY24E and arrive at a target price of 871 and upgrade rating to “Buy” from “Buy on Dips” (24x FY24E EPS of 36.3). We feel the multiple of 24x should sustain since MoldTek has an upper hand over its peers in terms of quality, diversification of business, order-book and first mover advantage (helping lower pricing).

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Operating Income	3,940.9	4,374.4	4,789.3	6,178.7	6,968.5	7,559.4
Raw Materials	2,387.2	2,498.6	2,724.0	3,647.3	4,006.9	3,988.0
Employee Cost	404.5	309.0	326.9	370.7	365.7	458.3
Other Expenses	429.6	766.3	778.7	905.2	974.9	1,072.2
Total Expenses	3,221.4	3,573.9	3,829.7	4,923.2	5,347.5	5,518.5
Operating Profit	719.5	800.4	959.6	1,255.5	1,621.0	2,040.9
Depreciation	147.4	190.7	214.9	271.3	340.0	420.0
PBIT	572.1	609.7	744.7	984.2	1,281.0	1,620.9
Other income	13.4	11.6	6.0	11.0	11.0	8.7
Interest	70.8	101.9	99.4	102.9	80.0	80.0
Extraordinary Items	115.0	28.6	10.8	-	-	-
Profit before tax	399.6	490.8	640.5	892.3	1,212.0	1,549.7
Provision for tax	158.6	108.9	159.8	224.9	305.4	390.5
Reported PAT	241.0	381.9	480.8	667.5	906.6	1,159.1
Extraordinary Items	115.0	28.6	10.8	-	-	-
Minority Interest						
Adjusted PAT	310.4	404.2	488.8	667.5	906.6	1,159.1

Source: Dalal & Broacha Research, Company

Growth Ratios (%)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	16.09%	11.00%	9.48%	29.01%	12.78%	8.48%
Operating Profit	13.35%	11.25%	19.88%	30.84%	29.11%	25.91%
PAT	-23.94%	58.44%	25.88%	38.84%	35.82%	27.86%
Per Share (Rs.)						
Net Earnings (Adj. EPS) (FV 5)	11.2	14.6	17.5	23.1	28.4	36.3
Cash Earnings (CPS)	14.0	20.7	24.9	32.5	39.1	49.5
Dividend	4.0	5.0	7.0	9.0	9.0	12.7
Book Value	68.8	71.1	91.7	102.3	124.2	147.5
Valuation Ratios						
P/E(x)	64.1	49.3	41.0	31.1	25.3	19.8
P/B(x)	10.4	10.1	7.8	7.0	5.8	4.9
EV/EBIDTA(x)	28.9	26.2	21.9	17.4	14.7	11.6
Div. Yield(%)	0.56%	0.70%	0.97%	1.25%	1.25%	1.77%
Return Ratios (%)						
ROE	16.29%	20.50%	19.11%	22.57%	22.87%	24.62%
ROCE (Excluding Financial Liability)	20.32%	19.90%	20.79%	24.47%	25.85%	28.24%
ROCE (Excluding Cash & Bank)	20.39%	19.97%	20.86%	24.36%	26.41%	29.51%
ROA	9.04%	11.15%	11.20%	13.28%	15.44%	17.62%

Source: Dalal & Broacha Research, Company

Cash Flow (Rs. Mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
PAT + Depn	326.0	368.1	435.4	388.4	572.6	695.6
Increase/decrease in						
Inventories	(238.8)	(123.8)	(142.3)	66.4	(61.5)	(208.2)
Trade Receivables	(547.8)	(59.7)	(216.6)	160.3	83.9	(321.4)
Short Term Loans and Advances	(89.3)	88.0	(23.2)	(14.6)	31.5	4.4
Other Current financial Assets	(7.4)	(11.2)	(11.0)	0.2	(3.0)	8.5
Other Current Assets	(42.0)	(24.9)	9.2	(29.1)	(48.8)	93.8
Trade Payables	141.0	5.6	54.1	(21.8)	1.4	142.0
Other Financial Liabilities	120.4	(32.0)	(12.8)	190.3	(41.8)	59.9
Short term Provisions	7.3	62.4	(66.8)	12.8	(10.6)	4.1
Other short Financial liabilities	9.5	6.2	(1.1)	10.4	10.9	0.4
Long Term Provisions	12.5	6.5	1.1	0.2	5.8	8.7
Total	(634.5)	(82.9)	(409.3)	375.1	(32.2)	(208.0)
Net Cash from Operating Activities	(308.5)	285.3	26.1	763.5	540.4	487.6
Cashflow from Investing Activities						
Fixed Assets	(1,189.5)	(281.8)	(399.4)	(732.6)	(385.3)	(527.6)
long term investments						
Total	(1,189.5)	(281.8)	(399.4)	(732.6)	(385.3)	(527.6)
Cashflow from Financing Activities						
Equity	138.5	-	-	-	0.2	0.9
R&S	1,067.0	(158.1)	(66.7)	(142.4)	(317.0)	105.6
DTL	68.4	6.3	29.2	26.7	(14.5)	4.3
Income tax Assets	(7.2)	(0.9)	1.6	(7.1)	0.4	0.9
Income Tax Liabilities	-	3.1	(0.3)	(2.8)	-	8.7
Short term borrowings	186.1	169.2	415.5	(30.6)	74.4	7.9
Long Term borrowings	53.1	(22.4)	(5.0)	122.9	103.2	(85.7)
Other Financial Liabilities	-	-	-	1.7	(0.9)	(0.6)
Total	1,505.9	(2.8)	374.2	(31.6)	(154.2)	42.2
Net Cash	7.8	0.7	0.9	(0.6)	1.0	2.2
Cash at the beginning of year	-	7.8	8.5	9.4	8.8	9.7
Cash at the end of the year	7.8	8.5	9.4	8.8	9.7	12.0
Net Cash	7.8	0.7	0.9	(0.6)	1.0	2.2

Source: Dalal & Broacha Reasearch

Balance Sheet (Rs. Mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	138.5	138.6	139.6	144.6	159.6	159.6
Reserves	1,767.5	1,832.4	2,418.8	2,812.6	3,805.2	4,547.7
Net worth	1,906.0	1,971.1	2,558.4	2,957.2	3,964.8	4,707.3
Def. Tax Liab.+Minority Int.	130.6	116.1	120.5	120.5	120.5	120.5
Longterm Debt	169.0	278.0	201.0	241.7	167.6	210.8
Short Term Debt	740.2	814.6	822.5	822.5	822.5	822.5
Total debt	909.2	1,092.6	1,023.5	1,064.3	990.1	1,033.3
Other Non current Liabilities	1.7	0.9	0.3	0.3	0.3	0.3
CAPITAL EMPLOYED	2,947.5	3,180.7	3,702.6	4,142.2	5,075.6	5,861.4
Gross block	2,350.2	2,778.8	3,308.7	3,849.6	4,822.8	5,796.8
Accumulated depreciation	357.3	546.3	761.2	1,032.5	1,372.8	1,794.1
Net block	1,992.9	2,232.5	2,547.5	2,817.1	3,450.0	4,002.6
Capital WIP	160.4	115.3	113.0	132.3	167.4	202.4
Total fixed assets	2,153.3	2,347.8	2,660.6	2,949.4	3,617.3	4,205.0
Goodwill						
Investments						
Inventories	438.5	500.0	708.2	799.4	713.6	710.2
Sundry debtors	663.8	579.9	901.3	1,117.2	1,241.0	1,346.2
Cash & bank	8.8	9.7	12.0	(18.2)	103.7	248.5
Loans & advances	39.1	7.6	3.2	3.5	3.9	4.4
Other current assets	116.2	167.9	65.7	160.6	181.2	52.9
Sundry creditors	178.9	180.3	322.3	449.7	329.3	327.8
O. Current Liabilities	291.0	260.1	320.4	413.5	449.2	369.7
Provisions	15.6	5.0	9.1	10.2	10.1	12.6
Working capital	780.7	819.6	1,038.5	1,189.3	1,454.7	1,652.1
Current Tax Assets (Net)	13.6	13.2	12.3	12.3	12.3	13.0
Current Tax Liabilities (Net)	-	-	8.7	8.7	8.7	8.7
CAPITAL DEPLOYED	2,947.5	3,180.7	3,702.6	4,142.2	5,075.6	5,861.4

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com